

The stock recovered up to 12 and moved sideways, forming a rectangle top. From my notebook: "Chart pattern traded: Rectangle top, cloud bank (bottom at 19–21). Buy reason: rectangle top. I think the downward plunge from 2014 is over and this will bounce up after the rectangle breaks out upward. I'll put a stop order to buy at 12.41, I think. This is thinly traded, and it's a risk, so I'll buy lightly. Company makes engineered steel pipe water systems. I can't see any growth in that industry. I was hoping the Flint, Michigan, debacle with their corroding pipes would spur some interest in this stock, but I don't see that happening. They closed their Denver facility in mid-2015 and laid off 65 people. Yuck. If we get a downward breakout from the rectangle, then avoid this stock."

"22 October 2016. The [conditional order] triggered two days ago for a buy at market open yesterday. It didn't fill anywhere near the opening price [12.46, filled at 12.70]. *Sheesh*. It filled in the first minute, but right at the very top of that price bar. Bad execution. Even so, we had a good run up in the stock going into noon where it went horizontal the rest of the day. News said that on 19 October, the company was awarded a contract to provide Tarrant Regional Water District and Dallas Water Utilities pipe, almost 67,000 feet of 84" concrete pipe. No word on cost."

I bought slightly less than half a position with a target of 19 to 21 with a stop at 11.54 for a potential loss of 4.5%. Because this was a long-term holding (buy-and-hold), I didn't place the stop with my broker.

About two weeks later, I filled out the second portion of the trade by buying again, this time trading a V-bottom chart pattern. See that chapter for the entry. They share the same exit, which follows.

The stock climbed but missed the 19 target by 8 cents. It plunged back to 14 and change, only to rise back up to peak at 19.55 just over a month later.

I didn't sell through any of those gyrations. The stock dropped to 12.41 and recovered going into 2018. From my notebook: "9 January 2018. S&P says strong sell as of 3 January 2018. Everything is negative: value, quality, growth, financial health, price momentum. Other analysts are red [bearish], too. Dump this? Insiders are holding onto shares, though. Cloudbank is at 20, so [the stock is] right there, at the base."